

BOARD OF CBA

MINUTES

(26.09.2017)

Refinancing Rate of September 26, 2017

The CBA Board Meeting of September 26, 2017 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan and Oleg Aghasyan.

The Board meeting opened with presentation of Situation Report as of September 26, 2017. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

It was stated of a 0.4% deflation in August 2017 – almost the same indicator registered for the same month last year; and as a result, the 12-month inflation rate remained at the previous month's level, making up 0.9% at the end of August. Core inflation continued increasing; it amounted to 1.5%, which was in line with the Central Bank expectations, whereas considerable decline in seasonal prices of agricultural products somehow curbed the expected recovery of headline inflation. At the same time, a significant increase was observable in the structure of core inflation in August for prices of butter (4.2%), meat products (0.3%), petrol (0.8%), clothing (5.2%) and footwear (6.4%).

The Board meeting addressed the economic situation by stating that the first half of 2017 saw high economic activity (6% economic growth), which persisted over the third quarter too, conditioned by strong growth in industry and services. Moreover, it mostly neutralized the effect of declines in other sectors of the economy, which prompts the Central Bank to anticipate a slightly higher economic growth in the third quarter. It was admitted that domestic demand rebounded this quarter faster than expected, owing to less contractionary fiscal policy in addition to expansionary monetary policy implemented earlier. It should be noted that rapid recovery of domestic demand was reflected in the growth rates of credit to the economy (10.0% in August compared to the same month of the previous year), imports (14.6% in real terms) and core inflation rate (1.5%). Risks with regard to demand and annual economic growth indicators tend to be higher. High growth of money transfers was registered in the third quarter (16.0% in net terms), mainly due to the positive developments in the Russian economy; if these trends persist by the end of the year, the Central Bank expectations in respect of this indicator may be exceeded to some extent.

The Board meeting also addressed the developments in the external sector, pointing to the economic growth further trending upward in the third quarter, as well. Moreover, economic growth rates have exceeded the expectations especially in the European Union and Russian Federation, driven by the rapid pace of recovery of domestic demand and a low unemployment rate. In particular, the euro's appreciation was observable in light of the positive developments in the EU, whereas the US dollar somewhat depreciated driven by geopolitical developments, which was reflected in increasing dollar price of goods imported from major partner countries. It should also be noted that a sharp rise in butter price has been observed in international markets in recent months due to short-term supply problems amid continued growth in demand. At the same time, driven by restoring investment activity in developing countries, there have emerged expectations for demand for copper, under which a relatively high price increase has been observable in the market. As a result of the discussion, the Board assessed that inflation trends will be maintained in international commodity markets in the upcoming months, and in such a situation minor inflationary effects from the external sector are likely.

The Board also discussed the developments in the financial market, admitting that in spite of the unchanged level of the policy rate recently, the short-term market rates continued to decline because of high excess liquidity in the banking system.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began discussing the monetary policy directions and the interest rate decision-making. The Board is further of the opinion that the current policy rate is rather expansionary and it will continue to be so for some time according to the prediction scenario. It will continue to transmit its impact onto aggregate demand, and, as a result, the inflation will increase gradually to stabilize around the target in the forecast horizon.

However, if inflation and macroeconomic indices deviate from the predicted path, the Central Bank will adjust the monetary policy directions accordingly while making sure the inflation target is fulfilled in the medium run.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

.....

CODE

050.0219 A. 26.09.17

September 26, 2017 No. 219 A

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD RESOLUTION

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2 Deposit facility rate offered by the Central Bank to be 4.5%.
3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the CBA

.....

PRESS RELEASE

26.09.2017

On the September 26th of 2017 meeting the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the 6.0% level.

There was 0.4% deflation registered in August of 2017, and the 12-month inflation rate persisted at the same level, 0.9% as of the end of August. Meanwhile, the 12-month core inflation has increased at a faster pace over the headline inflation, from 0.7% in the previous month to 1.5% this month, while the rise in seasonal prices of agricultural products has slowed down sharply to 1.2% from 7.8%.

In the external environment, the global economic growth outlook further followed a positive track in both developed and developing economies. This has pushed the copper prices considerably up while moderate price inflation has been observable in other commodity markets. Based on this, the Board of the Central Bank expects minor inflationary effects from the external sector.

The Board notes that in the first half of 2017, compared to the same period last year, economic growth had exceeded the expectations by 1.0 pp, amounting to 6.0%. Economic activity remained strong in the third quarter too, driven by the growth in industry and services sectors that have offset the decline in agriculture and

construction sectors. According to the Central Bank estimates, domestic demand is recovering faster than expected, pointing to reported high growth rates in economy lending, imports and core inflation. The recovery of domestic demand has been largely conditioned by the implemented expansionary monetary policy and the fiscal policy which proved less contractionary than predicted.

In such a situation, the Board of the Central Bank is of the opinion that the current policy rate is quite expansionary and will remain so for some time according to prediction scenario. It will continue transmitting its impact on aggregate demand, prompting the inflation to increase gradually and to stabilize around the target in the forecast horizon.

Should there emerge risks to the economic growth outlook and inflation deviating from its recovery path, the Central Bank would react by adjusting its monetary policy directions accordingly, while fulfilling the inflation target in the medium run.

Detailed information on setting of the interest rate will be available in Press Release (Minutes on Interest Rate), to be published by October 6, 2017.

Press Service of the Central Bank of Armenia